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hub for the world in India cannot be realised without institutional innovations. Public-private-civil society partnerships are needed. Today, models of private-public partnership are evolving, not just in building hard infrastructure but also in creating soft infrastructure. Consider the Emergency Management Research Institute (EMRI), an initiative of the Byrraju Foundation in Hyderabad. It now covers more than 200 million Indians in Andhra Pradesh, Karnataka, Madhya Pradesh, Gujarat, Rajasthan and Goa. Its plan is to cover the whole country. It is a highly efficient system, with an infrastructure that costs only Rs 23 per person compared to \$100 (Rs 4,600) in the US. The cost per incident is as low as \$15 (Rs 700). The system has already saved more than 45,000 lives. When it is completely deployed, it is estimated that the system will save more than a million lives per year. It draws 95 per cent of its funds from the public sector and 5 per cent from the private sector. It is not just the funding but the active collaboration of the public and private sectors that is interesting. For example, all public sector health clinics are actively inte-

Reaping a change:
Farmers getting information
at e-Chaupal in Badi
Mungawali Village near
Bhopal, Madhya Pradesh

Haven of Opportunities

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grated into this initiative. EMRI is managed as a private sector initiative with the efficiency that would be the envy of many firms. More than 30,000 metrics are tracked routinely. A similar system, Health Management Research Institute, is being built for routine healthcare. It is being rolled out in Andhra Pradesh. When operational, it is estimated that it can provide world-class healthcare to all citizens at a fraction of the cost the Government currently spends for public delivery of health system.

Similarly, the growth of self-help groups (SHG) and the role of civil society in micro-finance is well-documented. Several large firms now recognise that they have to seek partnerships with village entrepreneurs. STD phones started the trend towards creating micro-entrepreneurs. Airtel, Hindustan Unilever (Shakti Ammas), ITC (e-Choupal and e-Sagar) are just a few examples of an active partnership between large firms and individual village entrepreneurs. Silently and steadily, Indian private and public sector are experimenting to form a new social compact. It is not based on mistrust but in full recognition of the fundamental task they must jointly address—creating opportunities and rapid growth for the country's large population. Similarly, civil society and private sector are forming bonds.

The focus of the vision outlined in India @75 from the current state will require that a new social compact is formed. Private sector must participate in confronting social ills like illiteracy, malnutrition, poor healthcare in an efficient business-oriented manner. Public sector must recognise that flexible and adaptive systems are needed to cope with these problems. Both must recognise the critical role of the civil society. The new social compact will enlarge the scope of private sector. It must focus on innovations that dramatically alter the economics of products and services so that markets become inclusive. But that cannot be done without the active support of the public sector and the civil society. For these sectors to collaborate, they must all agree on their common interests—reducing inequalities and building a just society. The systems will work only if we focus on transparent transactions, the application of advanced technologies, innovative solutions and a deep belief that what is at stake is the very social legitimacy of private and the public sectors as institutions.

The author wrote the seminal book The Fortune at the Bottom of the Pyramid: Eradicating Poverty through Profits in 2004.